Worksheets
Closing Entries
Classified Balance sheets

Chapter 04

Questic

At the end of its first month of operations, Watson Answering Service has the following unadjusted trial balance.

WATSON ANSWERING SERVICE
August 31, 2012
Trial Balance

	Debit	Credit
Cash	$ 5,400	
Accounts Receivable	2,800	
Supplies	1,300	
Prepaid Insurance	2,400	
Equipment	60,000	
Notes Payable		$40,000
Accounts Payable		2,400
Owner's Capital		30,000
Owner's Drawings	1,000	
Service Revenue		4,900
Salaries and Wages Expense	3,200	
Utilities Expense	800	
Advertising Expense	400	
	$77,300	$77,300

Other data:

1. Insurance expires at the rate of $200 per month.
2. $1,000 of supplies are on hand at August 31.
3. Monthly depreciation on the equipment is $900.
4. Interest of $500 on the notes payable has accrued during August.

Instructions

(a) Prepare a worksheet.

(b) Prepare a classified balance sheet assuming $35,000 of the notes payable are long-term.

(c) Journalize the closing entries.

Worksheet:

Solution to Comprehensive DO IT!

(a)

WATSON ANSWERING SERVICE

Worksheet For the Month Ended August 31, 2010

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Sheet Dr.	Balance Sheet Cr.
Cash	5,400				5,400				5,400	
Accounts Receivable	2,800				2,800				2,800	
Supplies	1,300			(b) 300	1,000				1,000	
Prepaid Insurance	2,400			(a) 200	2,200				2,200	
Equipment	60,000				60,000				60,000	
Notes Payable		40,000				40,000				40,000
Accounts Payable		2,400				2,400				2,400
Ray Watson, Capital		30,000				30,000				30,000
Ray Watson, Drawing	1,000				1,000				1,000	
Service Revenue		4,900				4,900		4,900		
Salaries Expense	3,200				3,200		3,200			
Utilities Expense	800				800		800			
Advertising Expense	400				400		400			
Totals	77,300	77,300								

Account Titles	Trial Balance Dr.	Trial Balance Cr.	Adjustments Dr.	Adjustments Cr.	Adjusted Trial Balance Dr.	Adjusted Trial Balance Cr.	Income Statement Dr.	Income Statement Cr.	Balance Dr.
Insurance Expense			(a) 200		200		200		
Supplies Expense			(b) 300		300		300		
Depreciation Expense			(c) 900		900		900		
Accumulated Depreciation—Equipment				(c) 900		900			
Interest Expense			(d) 500		500		500		
Interest Payable				(d) 500		500			
Totals			1,900	1,900	78,700	78,700	6,300	4,900	72,400
Net Loss								1,400	1,400
Totals							6,300	6,300	73,800

Explanation: (a) Insurance expired, (b) Supplies used, (c) Depreciation expensed, (d) Interest accrued.

(b)

WATSON ANSWERING SERVICE

Balance Sheet
August 31, 2010

Assets

Current assets		
Cash	$ 5,400	
Accounts receivable	2,800	
Supplies	1,000	
Prepaid insurance	2,200	
Total current assets		$11,400
Property, plant, and equipment		
Equipment	$60,000	
Less: Accumulated depreciation—equipment	900	59,100
Total assets		$70,500

Liabilities and Owner's Equity

Current liabilities		
Notes payable	$5,000	
Accounts payable	2,400	
Interest payable	500	
Total current liabilities		$ 7,900
Long-term liabilities		
Notes payable		35,000
Total liabilities		42,900
Owner's equity		
Ray Watson, Capital		27,600*
Total liabilities and owner's equity		$70,500

*Ray Watson, Capital, $30,000 less drawings $1,000 and net loss $1,400.

Closing Entry (Journalizing)

(c)

Date	Account Titles and Explanation	Debit	Credit
Aug. 31	Service Revenue	4,900	
	Income Summary		4,900
	(To close revenue account)		
31	Income Summary	6,300	
	Salaries Expense		3,200
	Depreciation Expense		900
	Utilities Expense		800
	Interest Expense		500
	Advertising Expense		400
	Supplies Expense		300
	Insurance Expense		200
	(To close expense accounts)		
31	Ray Watson, Capital	1,400	
	Income Summary		1,400
	(To close net loss to capital)		
31	Ray Watson, Capital	1,000	
	Ray Watson, Drawing		1,000
	(To close drawings to capital)		

Preparing Closing Entries

- Instead, companies close the revenue and expense accounts to another temporary account, ***Income Summary***, and they transfer the resulting net income or net loss from this account to owner's capital.
- Companies generally prepare closing entries directly from the adjusted balances in the ledger. They could prepare separate closing entries for each nominal account, but the following four entries accomplish the desired result more efficiently.

1. ***Debit each revenue*** account for its balance, and credit Income Summary for total revenues.

2. Debit Income Summary for total expenses, and ***credit each expense account*** for its balance.

3. Debit Income Summary and credit Owner's Capital for the